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Asslam-o-Alaikum! In this file we'll provide you **MGT402 Important Finalterm MCQs. Must Prepare Before Finalterm Exams.** Verify Answers yourself too. If you found mistake then inform me.

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Question # 1 of 10 (Start time: 08:22:48 PM, 05 January 2024) Total Marks: 1

During the month if 12,500 units were completed, 1,500 (completed up to 25%) units remained in work in process, how many equivalent units are produced?

Select the correct option

- ☒ 12,875 units
- ☐ 12,125 units
- ☐ 14,250 units
- ☐ 12,500 units

Following calculation has been extracted from the section of 'Equivalent Units Produced' of cost of production report.

Direct material = $1500 + (? \times 100\%) = 1600$

Required: Identify the missing value of units in process which are used in above working.

Select the correct option

- ☐ 1500 units
- ☐ 30 units
- ☐ 1530 units
- ☒ 100 units

Question # 3 of 10 (Start time: 08:24:26 PM, 05 January 2024) Total Marks: 1

Units completed in the department 1500 units
Units still in process 500 units
Units started in process can be computed as ?

Select the correct option

Reload Math Equations

- ☒ Units completed in the department + Units still in process
- ☐ Units completed in the department x Units still in process
- ☐ Units completed in the department - Units still in process
- ☐ Units completed in the department ÷ Units still in process

Question # 4 of 10 (Start time: 08:25:56 PM, 05 January 2024) Total Marks: 1

In cost of production report, "Quantity schedule" includes all of the following information, EXCEPT:

Select the correct option

- ☒ Equivalent units to be produced
- ☐ Units put into process
- ☐ Units completed and transferred
- ☐ Units still in process

Question # 5 of 10 (Start time: 08:26:41 PM, 05 January 2024) Total Marks: 1

Which one of the following statements is Correct while comparing common cost and joint cost?

Select the correct option

- ☐ Both have the same objective of assigning production cost to cost center
- ☒ They differ since common cost products or services have been obtained separately
- ☐ Common cost is sometimes used as joint cost
- ☐ The terms can be correctly used interchangeably

Question # 6 of 10 (Start time: 08:27:34 PM, 05 January 2024) Total Marks: 1

Product cost under absorption costing is characteristically:

Select the correct option

- ☒ Higher than under variable costing
- ☐ Lower than under variable costing
- ☐ Equal to variable costing
- ☐ Higher sometimes and lower sometimes than variable costing

Which of the following does not use process costing?

Select the correct option

- ☐ Cement companies
- ☐ Pharmaceutical companies
- ☐ Textile companies
- ☒ Accounting firms

Which of the given statement is CORRECT; if normal loss occurred in the first department?

Select the correct option

- ☐ It is required to add normally lost units into units completed but still in hand while computing equivalent production.
- ☐ It is required to add normally lost units into in-process units while computing equivalent production.
- ☒ It is required to add normally lost units into units completed & transferred while computing equivalent production.
- ☐ It requires no separate calculation while computing equivalent production.

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In cost of production report; which of the following formula is used to compute equivalent units produced?

Select the correct option

- ☐ Fully completed units x percentage completed of the in-process units
- ☐ Fully completed units ÷ percentage completed of the in-process units
- ☒ Fully completed units + percentage completed of the in-process units
- ☐ Fully completed units - percentage completed of the in-process units

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MGT402 - Cost & Management Accounting (Quiz 2) Quiz Start Time: 08:22 PM, 05 January 2024

Question # 10 of 10 (Start time: 08:33:38 PM, 05 January 2024) Total Marks: 1

In cost of production report, if, equivalent units with respect to: Direct material: 800; Direct labor: 500 and FOH: 450.

Required: Identify "material cost per unit" if direct material cost is Rs. 1625.

Select the correct option

Reload Math Equations

- ☒ Rs. 2.03
- ☐ Rs. 3.25
- ☐ Rs. 1.71
- ☐ Rs. 3.61

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Which of the following costs do not change when the activity base fluctuates?

Select the correct option

☐ Discretionary costs

☒ Fixed costs

☐ Mixed costs

☐ Variable costs

Contribution margin is the result of which of the following two variables?

Select the correct option

☒ Sales and variable costs

☐ Variable and fixed costs

☐ Sales and operating profit

☐ Sales and Fixed cost

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The current sales price is Rs. 25 per unit and the current variable cost is Rs. 17 per unit. Fixed costs are Rs. 40,000. If the sales price is increased by Rs. 2 and all other costs remain unchanged, what will happen to the break-even point in units?

Select the correct option

- ☐ It will decrease by 2,000 units
- ☐ It will increase by 1,000 units
- ☐ It will not change
- ☒ It will decrease by 1,000 units

Which of the following is true for the direct labor cost budget?

Select the correct option

- ☐ It is prepared from the sales budget
- ☐ In the direct labor budget, ending inventory is subtracted and beginning inventory is added
- ☐ It is prepared from the production budget
- ☒ The first line of the direct labor budget is total direct labor cost

Cost volume Profit analysis (CVP) is a behavior of how many variables?

Select the correct option

☐ 2

☐ 5

☐ 4

☒ 3

Cost of Goods sold budget include(s) all of the following EXCEPT:

Select the correct option

☐ General & Administrative expenses budget

☐ Production cost budget

☐ Selling & distribution expenses budget

☒ Cash budget

Contribution margin contributes to meet which one of the following options?

Select the correct option

- ☐ Variable cost
- ☐ Net Profit
- ☒ Fixed cost
- ☐ Operating cost

While constructing production budget, numbers of units manufactured are calculated by which of the following formula?

Select the correct option

- ☒ Number of units to be sold + closing units – opening units
- ☐ Number of units to be sold – closing units + opening units
- ☐ Number of units to be sold – closing units – opening units
- ☐ Number of units to be sold + closing units + opening units

Question # 9 of 10 (Start time: 11:27:51 PM, 11 January 2024) Total Marks: 1

Janet sells a product for Rs.6.25 each. The variable cost is Rs.3.75 per unit. Janet's break-even units are 35,000. What is the amount of fixed costs?

Select the correct option

- ☐ Rs. 87,500
- ☒ Rs.131,250
- ☐ Rs. 104,750
- ☐ Rs. 35,000

Company A's fixed costs were Rs.45,000, its variable costs were Rs. 24,000, and its sales were Rs.80,000. What is the company's break-even point in sales Rs?

Select the correct option

- ☐ Rs. 79,000
- ☐ Rs. 33,000
- ☒ None of the given options
- ☐ Rs. 57,000